

European Chemicals

BASF SE

Rating

Outperform

Price Target

 **BAS.GR**

61.00 EUR



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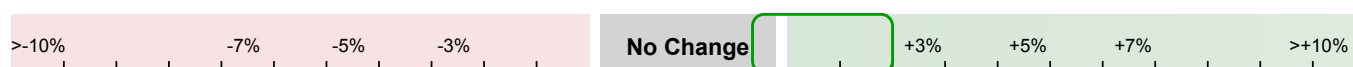
BASF - Key Themes Ahead of 2Q26 Results

We regularly hold calls with companies, making sure we are up-to-date with their latest communications. We recently caught up with BASF in the lead up to their 2Q26 reporting, and provide an update of the key themes below.

The company messaging around Q2 was positive, with currently analyst expectations considered a floor. The company saw positive volumes yoy in April and May and was able to maintain a solid order book through June. On a YoY basis, the strongest EBITDA improvements are expected from Chemicals and Materials, supported by higher commodity prices earlier in the quarter. Materials is expected to perform very strongly, but Chemicals division Vara consensus of €521m of Q2 may be a touch optimistic in the context of the Ludwigshafen turnaround. Industrial Solutions should also increase YoY. Nutrition & Care and Agricultural Solutions are expected to be similar YoY, whereas Surface Technologies is expected to decline given weaker auto production and lower precious metal prices. Given this performance, BASF were confident in at least performing in-line with Vara consensus on 2Q EBITDA before special items: Vara: €2,052m; BERNe:€2,048m; albeit other consensus sources are starting to factor this in (Bloomberg consensus €2,114m and Visible Alpha consensus at €2,117m).

The Q3 outlook seems solid, which we believe means an imminent guidance raise, albeit demand uncertainty may mean BASF raises more conservatively than consensus expects. BASF noted that the June order book was progressing solidly, which prices still elevated versus prior to the start of the conflict. In our view, even if formula pricing is likely to decline in the coming months following the oil price, the ongoing supply constraints mean that upstream volumes likely remain solid. Furthermore, Ludwigshafen is currently in the process of starting up after the mandatory turnaround, which should support the coming months. We expect this to support a guidance raise in the coming weeks from the existing €6.2-7.0bn range. However, we believe the Vara FY26 Adj. EBITDA consensus of €7,303m (BB / VA consensus is also €7.3bn) already factors in a reasonably bullish view of 2H, and the company may not be willing to raise guidance as far as expectations at the mid-point in July. As time passes we may see more segments under the pressure that Care Chemicals currently faces, where weaker demand and higher competition put downwards pressure on margins, and the company are likely to remain conservative given the uncertainty. Nevertheless, just because guidance is cautious doesn't mean expectations are unrealistic - for upstream chemicals at least, however, we expect resilience in volumes (see report [The Long View: Chemicals - Analysing the lasting impact on upstream chemicals of the Iran war](#)). And the impending separation of Ag Solutions could also act as a catalyst in H2.

EXPECTED CHANGE TO CONSENSUS EARNINGS



For more, please see reports:

26 May 2026 - [The Long View: Chemicals - Analysing the lasting impact on upstream chemicals of the Iran war](#)

01 May 2026 - [BASF 1Q26: Managing high expectations](#)

20 Apr 2026 - [Chemicals: Positioning for an Iran-related cycle and upgrading Arkema to Market-Perform](#)

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	3 Jul 2026	Price Target	TTM	Adjusted EPS			Adjusted P/E (x)			
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
BAS.GR (BASF)	O	EUR	47.71	61.00	(6.2)%	EUR	2.24	2.62	2.78	21.3	18.2	17.2
EDME			1,622.79									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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In three years time we believe that BASF shares will be worth €73, based on a 2028E Sum of the Parts (SotP) using Adjusted EBITDA. We value the Verbund, ECMS and Battery Materials businesses at 7x EBITDA. We value Feed Enzymes at 15x EBITDA, and Agricultural Solutions at 10x EBITDA. For Coatings, we used the publicly announced transaction values. We take a weighted average EBITDA multiple for Other / Central costs, and apply an EV bridge using the 28E balance sheet. Discounting this back two years at a WACC of 8.7% gives us our 12-month €61 Price Target.

RISKS**BASF SE**

Downside risks:

1. BASF is arguably the most exposed of our chemical coverage to the trading and structural challenges facing the European chemical industry, in particular through its upstream focus in Europe, if regional energy costs were to rise significantly on a relative basis again this would likely weigh on BASF's profitability (PT impact >€5).
2. BASF is investing heavily in China notably through its new €10bn Verbund site, if there are any problems with the ramp-up of the site or further increasing geopolitical tensions between the West and China, this is likely to weigh on sentiment for BASF's shares (PT impact >€5).
3. BASF has committed to change strategy included portfolio reshaping, any back tracking from this would likely be seen by investors very negatively (PT impact <€10).

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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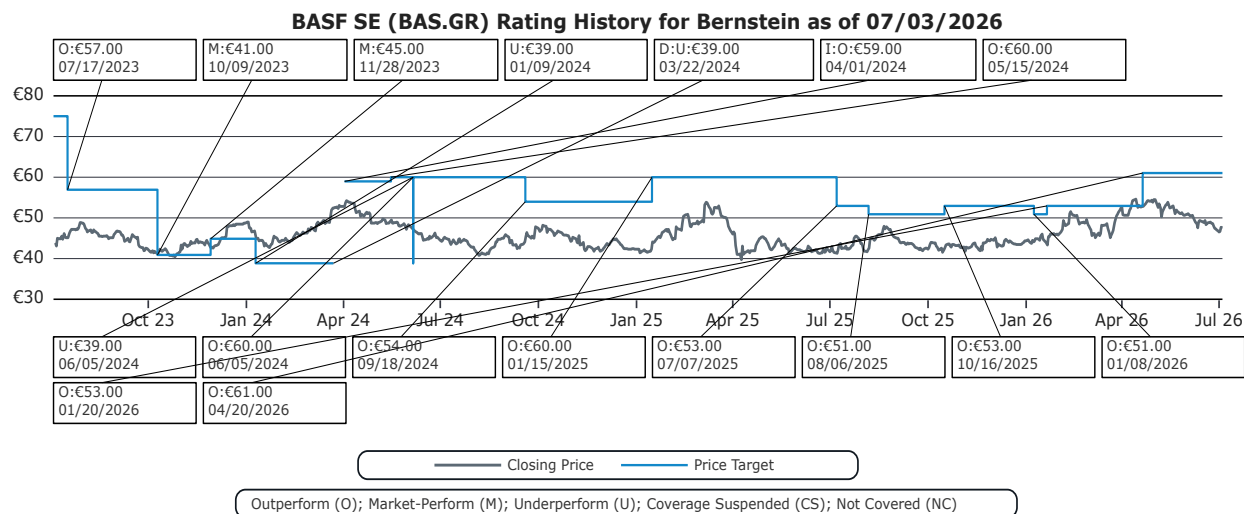
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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